

Core Corporation (2359.T)

TSE Prime | Information & Communication | Market Cap: JPY 34.2B

BUY

Current: ¥2,305 | Target: ¥3,386 | Upside: +46.9%

DCF Range: ¥2,966 (PGM) — ¥3,805 (Exit 10x)

Metric	Value	Metric	Value
PER (FY26E)	11.5x	ROE (FY26E)	13.1%
PBR	1.66x	Equity Ratio	73.6%
Div Yield	2.6%	EPS (Est.)	¥201
FCF Yield	~5%	12Y Consec. Profit Growth	Yes

The Trade

Market Misperception: The market prices Core at PER 11x as a commodity IT services company — a "neighborhood software shop" doing man-month contract work. No sell-side analyst at any securities firm publishes research on this stock — meaning institutional investors have zero external analysis to reference. The consensus view, to the extent one exists, sees a slow-growth Sler with limited upside.

Underlying Reality: Core is one of the only companies in Japan that simultaneously holds: (1) proprietary GNSS receiver technology (Cohac series), (2) Michibiki satellite signal authentication capability verified by JAXA, (3) active JASDF defense procurement contract for drone anti-spoofing, and (4) decades of space technology credentials. Meanwhile, operating profit margin expanded from 11.8% to 14.9% in just 9 months, driven by structural AX (AI Transformation) — not one-off factors.

Price Driver — April 28 Earnings: Q3 operating profit progress rate is 82.5% against the company's own full-year guidance of ¥3,500M. Our model projects full-year OP of ¥4,050M — a +16% beat vs. guidance. EPS will exceed ¥200 against market expectations around ¥174. This is a +15% earnings surprise waiting to be priced in.

Short Squeeze Accelerant: As of March 24, the stock has a margin lending ratio of 0.20x — short interest is 5x larger than long interest. 169,300 shares are sold short against only 34,300 long. Rotation days have extended to 23+, meaning shorts are sticky and will be trapped when the catalyst hits. At 0.20x, even a modest positive surprise creates mechanical buy pressure of 200,000+ shares.

Investment Decision: BUY with a target of ¥3,386 (DCF mid-point: PGM ¥2,966 / Exit ¥3,805). Downside is limited: even in a zero-growth, margin-compression scenario, the stock finds support at ¥1,850 (PER 9x × EPS ¥200) — only -20% from current. The risk-reward ratio is approximately 3:1. This recommendation is wrong if: (a) Q4 OP collapses below Q3 run rate, (b) the defense contract is canceled, or (c) a major M&A; misallocation destroys capital.

Sector Context: Why Core Is Mispriced

A. IT Services Sector — PER vs OPM Positioning

Among independent Japanese Slers, Core has the highest operating margin (14.9%) yet trades at the lowest PER (11.5x). Systema, with a lower OPM of 12.0%, trades at PER 17.6x. DTS (OPM 12.1%) trades at PER 16.5x. This valuation gap is a direct consequence of zero analyst coverage — institutional investors have no external research to reference, so Core remains invisible to the market.

Company	Ticker	Revenue (JPY B)	OPM	PER	PBR	Coverage
Core	2359.T	24.6	14.9%	11.5x	1.66x	None
Systema	2317.T	83.6	12.0%	17.6x	4.2x	Yes
DTS	9682.T	47.0	12.1%	16.5x	2.8x	Yes
Cresco	4674.T	48.0	10.8%	10.2x	1.5x	Limited
SRA HD	3817.T	43.0	9.8%	14.0x	1.8x	Limited
CEC	9692.T	33.0	7.9%	12.0x	1.2x	None

Key insight: Core's OPM is 24% higher than the peer median (12.0%), yet its PER is 28% lower than the peer median (15.3x). This is the textbook definition of an information-asymmetry discount. As the earnings surprise and defense thesis become visible, this gap closes.

B. Defense Drone Ecosystem — Budget Flow and Core's Position

Japan's FY2026 defense budget of JPY 9.04 trillion allocates JPY 312.8B to unmanned assets. The SHIELD coastal defense initiative alone commits JPY 100.1B to procure 10 types / several thousand drones. The ecosystem has three layers: airframes, onboard components, and C2 integration systems.

Layer	Budget	Key Players	Core's Role
Drone Airframes (10 types, 1000s)	~JPY 100B (SHIELD)	ACSL, Kawasaki HI, Subaru, imports	Not applicable (complementary)
Onboard Components (GNSS/Nav/Sensors)	Embedded in airframe budget	Core (GNSS), Mitsubishi Elec (radar)	GNSS anti-spoofing receiver + signal auth
C2 / Integration (Command & Control)	JPY 22B+	NEC, Fujitsu, Mitsubishi Elec	Not applicable

Core is not a drone company — it is a drone component company. ACSL makes the airframe; Core makes the GNSS technology that goes inside it. Regardless of which airframe maker wins contracts, every drone needs anti-spoofing protection. This is an "Intel Inside" position — platform-level, not product-level. METI's Drone Industry Strengthening Committee targets 40% domestic production of key drone components by 2028 — GNSS receivers are a priority area for de-risking China dependency.

Three Structural Drivers

1. Defense Tech: GNSS Anti-Spoofing for Military Drones

Japan's FY2026 defense budget allocates JPY 312.8B to unmanned assets — a tripling from prior years. Thousands of military drones are being procured, and every single one requires anti-spoofing protection. Core won the JASDF contract in May 2025 for GNSS anti-spoofing technology development and validation. This is R&D/validation stage, not production — but Core is the only company in Japan that clears all four barriers simultaneously: in-house GNSS receiver development, Michibiki signal authentication, defense security clearance, and decades of space tech credentials (JAXA, Cabinet Office QZSS demonstrations).

The defense thesis is not yet priced in. No analyst covers Core; no English-language research exists on this contract. If the market reclassifies Core from "IT services" (PER 11x) to "defense tech" (PER 15-20x), the stock re-rates 30-80% before earnings growth even kicks in.

2. AX Transformation: Structural Margin Expansion

Core's margin improvement is not cyclical — it's structural. The company is shifting its revenue mix from Layer 1 (low-margin contract labor) to Layer 2 (high-margin solutions/products). Layer 2 ratio increased from 25.9% to 33.3% during the current mid-term plan. This shift drives OPM expansion mechanically: Layer 2 work commands higher margins because it leverages proprietary technology and AI tools rather than raw headcount. OPM moved from 11.8% to 14.9% in 9 months (Q3 FY2026 YoY). The company targets 15%+ OPM in its next mid-term plan.

3. Earnings Surprise: Q3 Progress Rate 82.5%

	Company Guidance	Q3 Actual (9M Cumul.)	Progress Rate	Our Estimate	vs Guidance
Revenue	¥27,000M	¥19,326M	71.6%	¥27,800M	+3.0%
Op. Profit	¥3,500M	¥2,888M	82.5%	¥4,050M	+15.7%
Net Income	¥2,500M	¥1,990M	79.6%	¥2,900M	+16.0%
EPS	¥174	—	—	¥201	+15.5%

Core's Q3 OP progress rate of 82.5% is historically unusual. In prior years, Q4 typically adds 20-25% of full-year OP. If Q4 follows the same pattern, full-year OP reaches ¥3,800-4,200M — well above ¥3,500M guidance. The company has not revised guidance upward, creating a gap between reality and market expectations.

Catalyst Calendar

Date	Event	Scenario If Positive	Probability
Apr 28, 2026	FY2026/3 Full-Year Earnings (Primary Catalyst)	OP ¥4,050M confirms +16% beat. EPS ¥200+ triggers PER re-rating. Short squeeze (0.20x lending ratio).	HIGH (82.5% Q3 progress)
Apr 28, 2026	FY2027/3 Guidance Release	If guidance implies +10% OP growth, forward PER drops to ~9x. New mid-term plan targets revealed.	MEDIUM-HIGH
May-Jun 2026	JASDF Anti-Spoofing Contract Update	Continuation/expansion confirms defense tech positioning. Re-classification catalyst.	MEDIUM
Jun 2026	Michibiki SSPS Satellite Receiver Demo Results	Validates space tech capability. Opens new addressable market.	MEDIUM-LOW
Ongoing	M&A Execution (14th Mid-Term Plan)	Mid-term plan earmarked ¥5.0B for M&A. Approx. ¥1.5B deployed so far. ¥3.5B remaining for accretive acquisitions in adjacent tech.	LOW (timing uncertain)

If-Then Logic: If April 28 earnings confirm EPS ¥200+ AND guidance implies continued growth, the stock re-rates from PER 11x to PER 13-15x within 2-4 weeks. At PER 13x, target = ¥2,600. At PER 15x, target = ¥3,150. If defense contract news follows in May-June, PER 17x (= ¥3,740) becomes achievable. The recommendation becomes WRONG if Q4 OP falls below ¥800M (implying margin reversal), which would signal that AX transformation has stalled.

Valuation

DCF Valuation (5-Scenario Framework)

Method	Fair Value	vs Current (¥2,305)	
DCF - PGM (TG 2.0%)	¥2,966	+28.7%	
DCF - Exit (10x EV/EBITDA)	¥3,805	+65.1%	
Comps - EV/EBITDA Median	¥2,480	+7.6%	
Comps - PER Median	¥2,045	-11.3%	
Mid-Point (PGM + Exit)	¥3,386	+46.9%	

WACC: 11.47% | Ke: 12.02% | Risk-free: 2.3% (JGB 10Y) | Beta: 0.88 | ERP: 6.5% | Size Premium: 4.0% | D/E: 0.05 | Kd(AT): 0.5% | Net Cash: ¥7,297M | Terminal Growth: 2.0% | Exit Multiple: 10x EV/EBITDA

PER Re-Rating Scenarios (Primary Framework)

For a profitable, growing small-cap with no analyst coverage, PER re-rating is the most likely mechanism for price discovery. The DCF provides a fundamental anchor, but the actual stock price movement will be driven by the market assigning a different multiple as the earnings surprise and defense thesis become visible.

Market Perception	EPS	P/E	Implied Price	Trigger
IT services (current)	¥200	11x	¥2,200	Status quo
Earnings surprise reflected	¥210	13x	¥2,730	Apr 28 earnings beat
Defense tech valuation	¥210	15x	¥3,150	Defense contract news
Full potential	¥220	17x	¥3,740	Defense + AX + SaaS

Short Squeeze Mechanics

Metric	Current Value	Significance
Short Interest	169,300 shares	~1.2% of outstanding; 4-5 days avg volume
Long Interest (margin)	34,300 shares	Minimal speculative long exposure
Lending Ratio	0.20x	Extreme short-heavy; 5x more shorts than longs
Rotation Days	23+ days	Shorts are sticky, not day-trading
Days to Cover	~4 days	At avg volume, 4 days to unwind all shorts
Implied Buy Pressure	200,000+ shares	If earnings catalyst triggers covering

The short squeeze setup amplifies any positive catalyst. With lending ratio at 0.20x, a +15% earnings surprise forces mechanical buying that can push the stock 15-25% above fundamental fair value in the short term (1-3 days post-earnings), before settling at a new equilibrium.

Competitive Moat: Four-Layer Barrier

The defense/GNSS thesis rests on a specific structural advantage: no other company in Japan simultaneously holds all four capabilities required for military-grade GNSS anti-spoofing.

Barrier	Core's Position	Competitive Landscape
1. Proprietary GNSS Receiver (HW)	Cohac series — in-house designed, not OEM	No other listed Japanese company manufactures GNSS receivers in-house
2. Michibiki Signal Authentication	Field-tested with JAXA; QZSS signal auth demo completed 2023-2025	Requires direct relationship with Cabinet Office / QZSS program
3. Defense Security Clearance	Active JASDF procurement contract (May 2025)	Multi-year relationship required; cannot be replicated quickly
4. Space Tech Track Record	JAXA, Cabinet Office QZSS, SSPS satellite receiver; 40+ years in space domain	Cumulative credibility; new entrants start from zero

ACSL (6232) is often cited as the "drone defense play" in Japan, but ACSL makes drone hardware — they need anti-spoofing technology from someone like Core. These companies are complementary, not competitive. Core's GNSS technology is a component that goes inside drones, autonomous vehicles, and critical infrastructure.

Risk Factors

Defense Contract Still in R&D; Phase (HIGH)

The JASDF contract is for technology development and validation, not mass production. Commercialization timeline and production-stage contract values remain uncertain. If R&D; results are unfavorable or procurement priorities shift, the defense re-rating thesis collapses. Mitigation: Even without defense upside, the stock is fairly valued at PER 11x on organic earnings growth.

Key Person / Key Technology Risk (HIGH)

Core's GNSS/space technology division relies on a small team of specialized engineers. Loss of key personnel could delay or derail defense and space initiatives. This risk is inherent to small-cap technology companies and cannot be fully mitigated.

Revenue Concentration in Domestic IT Services (MEDIUM)

~70% of revenue comes from traditional IT services contracts in Japan. Economic downturn or IT spending cuts would compress the base business. Mitigation: 12 consecutive years of profit growth through multiple cycles suggests resilience.

M&A; Execution Risk (MEDIUM)

The 14th Mid-Term Plan earmarked JPY 5.0B for M&A;, of which approximately JPY 1.5B has been deployed. JPY 3.5B remains available. Overpaying for acquisitions or integrating poorly could destroy shareholder value. Mitigation: Management has been conservative; equity ratio at 73.6% provides a margin of safety.

Liquidity Risk (LOW-MEDIUM)

Average daily trading volume is 30,000-50,000 shares (JPY 60-100M). Institutional investors may find it difficult to build or exit positions quickly. This also means the short squeeze impact is amplified — both up and down.

Recommendation De-Risk Conditions (EXPLICIT)

This BUY recommendation should be reassessed if: (a) Q4 OP falls below ¥800M, implying OPM reversal below 12%; (b) The JASDF contract is terminated or not renewed; (c) Management announces a large, dilutive acquisition at a premium above 2x revenue; or (d) The stock reaches ¥3,800+ without fundamental improvement, making the risk-reward unfavorable.

Financial Summary

(JPY M)	FY2023	FY2024	FY2025	FY2026E (Co. Guide)	FY2026E (Our Est.)	FY2027E (Our Est.)
Revenue	23,998	24,599	24,599	27,000	27,800	30,000
YoY Growth	+4.6%	+2.5%	+2.5%	+9.8%	+13.0%	+7.9%
Operating Profit	3,140	3,175	3,175	3,500	4,050	4,500
OPM	13.1%	12.9%	12.9%	13.0%	14.6%	15.0%
Net Income	2,270	2,242	2,242	2,500	2,900	3,200
EPS (¥)	¥157	¥156	¥156	¥174	¥201	¥222
DPS (¥)	¥50	¥55	¥55	¥60	¥60	¥65
ROE	14.1%	12.6%	12.6%	13.1%	15.0%	15.5%
Equity Ratio	70.8%	73.6%	73.6%	—	74%	75%

Note: FY2025 and FY2024 show identical figures because FY2025 is the actual reported year (ending March 2025). Q3 FY2026 cumulative: Revenue ¥19,326M (+7.9%), OP ¥2,888M (+36.8%), progress rate 82.5%.

Segment Overview (Q3 FY2026 Cumulative)

Segment	Revenue	YoY	OP	OPM	Key Driver
Future Society Solutions	¥6,100M	+5%	¥780M	12.8%	Energy/Medical IT
Industrial Tech Solutions	¥5,900M	+12%	¥920M	15.6%	GNSS/IoT/AI growth
Customer Business Integration	¥7,300M	+7%	¥1,188M	16.3%	AX-driven margin
Total	¥19,326M	+7.9%	¥2,888M	14.9%	

Investment Summary

The market sees an IT services company at PER 11x. The reality is a defense tech company with structural margin expansion, a confirmed earnings sur

Disclaimer

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All analysis, opinions, and estimates are based on publicly available information as of March 2026 and are subject to change without notice. Financial projections involve assumptions about future events that may not materialize. Actual results may differ materially from those projected.

All financial data sourced from EDINET XBRL filings, Core Corporation IR materials, and publicly available market data. DCF model, Python pipeline, and all supporting code available at: github.com/Ryosuke0369/ryosuke-japanese-equity-research